COURSE

## Pearson Edexcel International GCSE in Business (4BS1)

# Market segmentation

**Section 4 · 4.2 The market · 4.2.3 market segmentation**

Revision for Section 4: each firm works it out on its own deals.

| Class | Topic |
|---|---|
| **Pearson Edexcel International GCSE Business (4BS1)** | **Market segmentation** |

THE LESSON

| | |
|---|---|
| **Setup** | 2 min |

**Round 1** — Decisions 3 min · Deals 5 min · Topic tasks 4 min

| | | | |
|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 1 **Market share as %** | TASK 2 **Why share fell** |

**Round 2** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 3 **Rank market share** | TASK 4 **Segment revenue** | **B2B deal** |

**Round 3** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 5 **Niche or mass** | TASK 6 **Market share change** | **B2B deal** |

| | |
|---|---|
| **Final questions** | 3 min |

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** | Buy property or funds. The value can rise or fall. |
| **Operations** | **Buying** | Hire the Procurement Specialist or the Stock Controller for the round. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Share of the town.

**Dealer’s market share, as a %?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Dealer’s sales, new | **77 cars** |
| Dealer’s sales, used | **16 cars** |
| All sales in the town | **300 cars** |

METHOD

**Market share = (new + used sales) ÷ all sales × 100**

77 + 16 = 93; 93 ÷ 300 × 100 = 31%

**Why:** The dealer wins 31 of every 100 cars sold in the town.

## Task 2

ROUND 1

Your market share fell from 20% to 15%, but you sold more cars.

**Which two explain this?**

PICK TWO

- ✔ **Rivals won more new buyers**
- ○ Rivals’ sales fell
- ○ The market shrank
- ✔ **The whole market grew faster**
- ○ You sold fewer cars

**Why:** Share is your sales over the market: the market grew faster than you.

## Task 3

ROUND 2

Three dealers: their sales and their town's sales.

**Order by market share, highest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **120 of 600 cars**
2. **300 of 2,000 cars**
3. **450 of 5,000 cars**

**Why:** Shares 20%, 15%, 9%: the most cars sold is the smallest share.

## Task 4

ROUND 2

Revenue in one segment.

**Dealer's revenue from this segment?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Town's car sales, a year | **£300,000** |
| Business buyers, % of sales | **25%** |
| Dealer's share of them | **10%** |

METHOD

**Revenue = town sales × segment % × dealer's share**

25% × £300,000 = £75,000; × 10% = £7,500

**Why:** The segment is worth £75,000. The dealer takes 10% of it.

## Task 5

ROUND 3

You are a small dealer. Six big dealers chase every buyer; no rival targets young drivers.

**Which should you choose, and why?**

PICK A OR B AND GIVE A REASON

- ✔ **Focus on young drivers**
- ○ Sell to every buyer

**Why:** A small firm does best in a segment rivals ignore.

## Task 6

ROUND 3

Two years compared.

**Dealer's share change, in % points? Minus allowed.**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Dealer's sales, last year | **49 cars** |
| All sales, last year | **700 cars** |
| Dealer's sales, this year | **198 cars** |
| All sales, this year | **1100 cars** |

METHOD

**Change = this year's share – last year's share (sales ÷ all sales)**

49 ÷ 700 = 7%; 198 ÷ 1100 = 18%; 18 − 7 = 11 points

**Why:** The share went from 7% to 18%.

# Final questions

**6**
questions for each pupil

**159**
Level 2 Business questions

**14**
of them on market segmentation

**The game draws 6 questions on this topic.**

1 A dealer sells 24 of the 120 used vans sold in its regional market. What is its unit market share?
**20%.**

2 A fleet dealer supplies 30 vans and has a 15% unit market share. What is the total number of vans sold in that market?
**200 vans.**

3 After a recall a dealer's sales fall from 24 to 18 cars in a 120-car local market. By how many percentage points does market share fall?
**5 percentage points.**

4 A dealer targets first-time drivers aged 17–24. Which segmentation basis is used?
**Demographic segmentation by age.**

5 A winter-tyre campaign is shown only to customers in colder northern areas. Which segmentation basis is this?
**Geographic segmentation.**

6 A dealership targets a premium service plan at customers in a high-income bracket. Which segmentation basis is used?
**Income.**

7 A small dealer specialises only in rare classic rally cars. Which market approach is this?
**Niche marketing.**

# Final questions

**8** A national chain offers a standard low-cost vehicle check to a very broad audience. Which approach is this?

**Mass marketing.**

**9** You have 36 sales in a 240-vehicle market. With the market unchanged, how many more sales reach a 20% unit market share?

**12 vehicles.**

**10** Research shows families value boot space while city commuters value easy parking. What should Sales do?

**Tailor the message to each group.**

**11** A dealership sells 45 of the 300 used cars sold in its town during one month. What is its unit market share?

**15%.**

**12** Segmentation means splitting customers into groups with different wants, each given a suitable offer. A dealer offers families, taxi firms and delivery firms different ranges. What is it doing?

**Segmenting: customers in groups, each with a different offer.**

**13** Market share = business sales ÷ total market sales × 100. A town sells 250 used cars a month; one dealer sells 45. Using the formula, what is its share?

**18%.**

**14** Market size is the total sales of every business in the market. Three dealers, the only ones in town, sold £180,000, £145,000 and £95,000. What is the market size?

**£420,000.**